

Circle Internet Group

NYSE: CRCL

Price (3/29/26)	Market Cap	52W Range	Beta (1Y)	Analyst Target
\$93.66	~\$23B	\$49.90 – \$298.99	0.23	\$127.56 (Buy)

I. Overview & Model

Circle Internet Group is a financial technology company and issuer of USDC and EURC, regulated stablecoins that serve as infrastructure for digital payments and blockchain applications. Founded in 2013 by Jeremy Allaire and Sean Neville, Circle operates across three platform pillars:

1. Digital Assets & Services (USDC & EURC)
2. Blockchain & Developer Infrastructure (Arc)
3. Circle Applications (Circle Payments Network and StableFX)

Circle's revenue is concentrated in its digital assets pillar, which generated \$733M of the \$770M in Q4 2025 total revenue (~95%). Pillars two and three (infrastructure and applications) make up the remaining 5%. That reserve income is interest earned on U.S. Treasuries held to back the USDC in circulation. However, Circle does not retain all of it. To get USDC into circulation, Circle relies on distribution partners (primarily Coinbase) who earn a revenue-share fee on every dollar of USDC held on their platform. Revenue Less Distribution Costs (RLDC) is the metric that captures what Circle keeps after those fees, measuring reserve income minus distribution costs. Because Coinbase's cut grows in proportion to its share of USDC float, RLDC margin has remained flat at roughly 39% even as headline revenue has grown sharply. Circle's top line scales with USDC supply, but so does its largest cost.

Circle completed its IPO on June 5, 2025 at \$31 per share, raising approximately \$1.05 billion in an offering that was 25x oversubscribed. Consequently, this led to a spike of \$300 per share within weeks of the IPO before an eventual pullback.

USDC held a 29% share of the global stablecoin market as of Q3 2025, up 643 basis points year-over-year. Circle's competitive advantage rests on regulatory transparency under U.S. law, but this narrowed after Tether hired a Big Four accounting firm for its first reserve audit in early 2026. The GENIUS Act, signed into law in 2025, legitimized Circle by formalizing a federal framework for stablecoin, but also created a pathway for bank to issue their own stablecoins, which could become more prevalent and draw away market share as demand increases.

However, two near-term developments improve the long-term model: the Circle Payments Network (CPN), launched mid-2025, introducing transaction fee revenue that is not rate-sensitive; and conditional approval in December 2025 for First National Digital Currency Bank, a regulated trust bank that would reduce dependence on Coinbase for reserve custody.

II. Financial Summary (FY24 vs. FY25)

Metric	FY24	FY25	YoY
Total Revenue & Reserve Income	\$1.68B	\$2.75B	+64%
Revenue Less Distribution Costs (RLDC)	~\$660M	\$1.08B	+64%
RLDC Margin	~39%	39%	Flat
Adjusted EBITDA	~\$285M	\$582M	+104%
USDC in Circulation (year-end)	\$44B	\$75.3B	+72%

III. \$1,000,000 Investment Analysis & IRR

Assumes investment at IPO on June 5, 2025 at the offering price of \$31.00 per share, held through today, March 29, 2026.

Parameter	Value
Investment Date	June 5, 2025 (IPO)
Entry Price	\$31.00 / share
Initial Investment	\$1,000,000
Shares Purchased	32,258
Price as of March 29, 2026	\$93.66
Portfolio Value	\$3,021,290
Holding Period	297 days (0.813 years)
Annualized IRR	289.62%

IRR formula: $(\text{Ending Value} / \text{Initial Investment})^{(1 / \text{Years})} - 1 = (3,021,290 / 1,000,000)^{(1 / 0.813)} - 1 = 289.62\%$

One must note that the 289.62% IRR reflects an entry at the IPO price, which may not have been representative of a realistic investment. CRCL reached an all-time high of \$298.99 on June 23, 2025 before declining sharply to a trading low of \$49.90 on February 5, 2026. Hence, Investors who purchased near the top are significantly underwater.

IV. Outlook & Valuation

Analyst Consensus

Current consensus is Buy, with a 12-month average price target of \$127.56 (range: \$50–\$280). Morningstar assigns a fair value of \$487.84, but with a "Very High" uncertainty designation. Morgan Stanley maintains an Equal weight rating with an \$80 target, representing the most cautious major coverage.

Bull Case

- USDC becomes the regulated stablecoin standard under the GENIUS Act, as compliance requirements freeze out smaller competitors.
- Circle Payments Network scales into a meaningful cross-border payments business, improving profit margins by diversifying revenue away from rate-sensitive reserve

- Federal funds rate remains elevated or cuts modestly, sustaining reserve income
- First National Digital Currency Bank approval allows Circle to hold reserves directly, reducing Coinbase's revenue-share and improving RLDC margins for the first time
- USDC adoption in enterprise contexts like Intuit (TurboTax, Quickbooks, Credit Karma) signals a move beyond crypto-only use cases into mainstream financial infrastructure
- Visa enabled continuous settlement via USDC outside traditional banking hours, extending USDC into mainstream payment infrastructure beyond crypto-native use cases
- EURC continues rapid growth (284% year-over-year), expanding addressable market, increasing diversity, and reducing dependence on US interest rates

Bear Case

- Interest rate sensitivity: reserve income is the primary revenue driver, meaning that a meaningful rate-cut cycle would compress RLDC significantly.
- Coinbase concentration: the structural revenue-share arrangement limits RLDC margin expansion and creates single-counterparty dependency. This is largely unavoidable due to Coinbase's position as the dominant crypto exchange: walking away would shrink USDC supply and negotiation is difficult.
- Tether (USDT), Circle's primary stablecoin competitor, had its first Big 4 audit, narrowing Circle's regulatory transparency advantage.
- Bank-issued stablecoins: the 2025 GENIUS Act lowers entry barriers for well-capitalized incumbent banks
- GAAP profitability: a TTM net margin of -2.5% and an EPS of -\$0.44 highlight reasons for investor concern regarding a path to sustained profitability

Summary

Circle holds a special position as a regulated stablecoin infrastructure with growing enterprise adoption. The business model is innovative but remains dependent on interest rates and a single distribution partner. At \$93.66, the stock is significantly off its peak, offering a more defensible entry than was available at the IPO peak. However, the valuation still implies substantial growth and RLDC margin expansion that is not yet proven at scale. Investors should weigh the growth of stablecoins and Circle's unique position against the structural risks of rate sensitivity and Coinbase dependency.